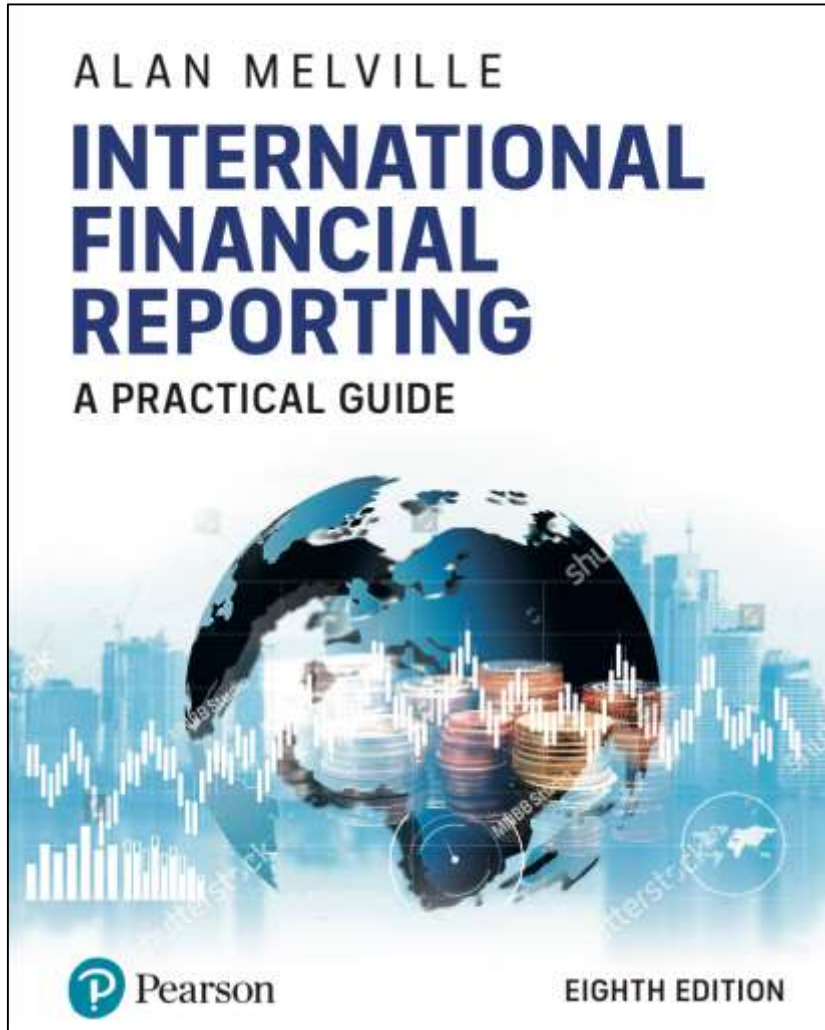


International Financial Reporting

Alan Melville (8th edition)



Chapter 10 Inventories (IAS2)

Overview

- Definition of inventories
- Measurement of inventories
- Conversion costs
- Fixed production overheads
- Excluded costs
- Cost measurement techniques
- Cost formulas
- Net realisable value
- Disclosure requirements

Definition of inventories (IAS2)

Inventories are assets:

- held for sale in the ordinary course of business;
- in the process of production for such sale; or
- in the form of materials or supplies to be consumed in the production process or in the rendering of services.

Measurement of inventories

Inventories are measured "*at the lower of cost and net realisable value*" (IAS2)

- Cost comprises "*all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition*".
- Net realisable value is "*the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale*".

Conversion costs

- Costs directly related to production (such as direct materials, direct labour) plus a systematic allocation of fixed and variable production overheads.
- Fixed production overheads are indirect costs of production which remain fairly constant (e.g. depreciation of factory buildings, costs of factory management).
- Variable production overheads are indirect costs of production which vary with volume of production (e.g. indirect materials and labour).

Fixed production overheads

- Allocation of fixed production overheads to units of production is based on normal activity.
- If actual activity is less than normal, unallocated fixed overheads are recognised as an expense, not as part of the cost of inventories.
- If actual activity is greater than normal, the amount of fixed overhead allocated to each unit of production is decreased.

Costs excluded from the cost of inventories

- Abnormal amounts of wasted materials, labour or other production costs.
- Storage costs, unless necessary in the production process before a further production stage.
- Administrative overheads not incurred to bring inventories to their present location or condition.
- Selling costs.

Cost measurement techniques

- Techniques such as standard costing or the retail method may be used if the results provide a reasonable approximation to cost.
- Standard costs should be regularly reviewed and, if necessary, revised.
- The retail method determines the cost of inventory by reducing sales value by the appropriate gross margin.

Cost formulas

- The cost of inventories that are not interchangeable should be ascertained "*by using specific identification of their individual costs*".
- For interchangeable items, costs are ascertained using either of the following cost formulas:
 - a) First-In, First-Out (FIFO)
 - b) Weighted average cost (AVCO)
- Last-In, First-Out (LIFO) is not allowed.

Net realisable value (NRV)

- The costs and NRV of inventories should normally be compared "*item by item*" (IAS2).
- However, similar or related items may be grouped if this is appropriate.

Main disclosures relating to inventories

- Accounting policies adopted, including any cost formula used
- Total carrying amount of inventories and analysis of carrying amount into appropriate classifications
- Amount of inventories recognised as an expense in the period
- Amount of any write-down to NRV or any reversal of previous write-down.